

PAYWARD LTD

CRYPTO ASSET RISK DISCLOSURE

Mantra (OM)

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Disclaimer

Please note that this Crypto Asset Statement is not exhaustive of all risks associated with trading OM. Investors should perform their own assessment to determine the appropriate level of risk for their personal circumstances. Be sure to do your own research and due diligence while taking into account your own financial situation and risk tolerance. Please review the [Risk Summary](#) for additional discussion of general risks associated with the assets made available in the platform. These materials are for general information purposes only and are not investment advice or a recommendation or solicitation to buy, sell or hold any crypto asset or to engage in any specific trading strategy. The information contained in this Crypto Asset Statement is based on publicly available information that may be inaccurate, incomplete, or change at any time.

What is Mantra and how does it work?

Mantra is a Layer 1 blockchain built on the Cosmos SDK, designed to facilitate the tokenization of real-world assets (RWAs). By offering interoperability between traditional finance (TradFi) and decentralized finance (DeFi), Mantra enables users to tokenize assets such as art, commodities, or real estate on a permissionless chain that supports both permissionless and permissioned applications.

Mantra's native utility token, OM, serves multiple functions within the ecosystem. It is used for gas fees and grants holders the ability to participate in governance by submitting and voting on proposals. OM can also be staked to earn rewards.

The platform offers a suite of natively built modules to support RWA tokenization. Mantra Compliance helps Web3 platforms meet regulatory requirements, Mantra Token Service allows users to create and issue their own digital assets, Mantra Assets facilitates the issuance of security tokens, and Mantra DEX serves as a decentralized hub for RWA asset trading.

Who is behind the project?

Mantra's DAO was established in 2020. The project was co-founded by John Patrick Mullin and Jayant Ramanad. As of May 2024, Charu Pareek serves as Head of Product and Matthew Crooks is Mantra's Chief Technology Officer.

Tokenomics of OM

The original supply of OM was capped at 888,888,888. In February 2024, Mantra approved a governance proposal to mint an additional 888,888,888 OM tokens for its mainnet in addition to the existing 888,888,888 OM limit. As of February 2025, OM has a circulating supply of ~972,118,679 OM.

Initial distribution:

Category	Amount
<i>Initial Distribution</i>	<i>888,888,888</i>
Public Sale	8.5%
Private Sale	9%
Team & Advisors	17.5%
Referrals	12.5%
Grants	12.5%
Reserves	10%
Staking Rewards	30%
<i>Second Distribution</i>	<i>888,888,888</i>
Upgrade to Mainnet Incentive	35%
Core Contributors	33.8%
Mainnet Pre-Seed	11.2%
Mainnet Seed	10.2%
Genesis Airdrop and Incentivised testnet	5.6%
Ecosystem	4.2%

General Risks

Like all other digital assets, there are some general risks to investing in OM. These include short history risk, volatility risk, liquidity risk, demand risk, forking risk, code defects, cryptography risk, regulatory risk, concentration risk, electronic trading risk and cyber security risk. For more information on general risks associated with smart contracts and digital assets, see Kraken's Risk Statement.

Risks specific to MANTRA

Competition Risks

MANTRA faces competition from other RWA projects such as CPOOL and ONDO. OM's value derives from the protocol's broader adoption in the market. If OM fails to achieve sufficient adoption compared to the other options in the market, this could negatively impact the value of OM.

Due Diligence

Prior to listing on the Kraken platform, Kraken performed due diligence on OM and determined it was permitted to make OM available for trading to UK users. This process generally consists of reviewing publicly available information on the following:

- The creation, governance, usage and design of OM, including the source code, security and roadmap for growth in the developer community and, if available, the background of the developer(s) that created OM;
- The supply, demand, maturity, utility and liquidity of OM;
- Material technical risks associated with OM, including any code defects, security breaches and other threats concerning OM and its supporting blockchain (such as the susceptibility to hacking and impact of forking), or the practices and protocols that apply to them; and
- Legal and regulatory risks associated with OM, including (i) any pending, potential, or prior civil, regulatory, criminal, or enforcement action relating to the issuance, distribution, or use of OM, and (ii) consideration of statements made by any regulators or securities regulatory authorities in the UK, other regulators of the International Organization of Securities Commissions, or the regulator with the most significant connection to OM about whether OM, or generally about whether the type of crypto asset, is a security and/or derivative.

Don't invest unless you're prepared to lose all the money you invest. This is a high-risk investment and you should not expect to be protected if something goes wrong. [Take 2 mins to learn more.](#)

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